Businessweek | The China Issue

Rich Country, Poor Citizens: China's $20 Trillion Paradox

For the Communist Party, a few thousand tycoons are easier to manage than a broad middle class.

By Christopher Marquis
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Takeaways by Bloomberg AI

- China's per capita income is nearing the World Bank's threshold for high-income countries and should cross it within a year or two of the 25th anniversary of its accession to the World Trade Organization.
- Despite China's economic growth, more than one-fifth of its population remained poor as of 2022, according to the World Bank's $8.30-a-day poverty line for households in upper-middle-income countries.
- China's leadership has ensured that a secure middle class has not formed, with social spending sitting near 10% of gross domestic product and a grinding property crisis heightening the sense of vulnerability among households.

China's leadership will soon claim a milestone it has chased since Deng Xiaoping's 1978 landmark economic reforms: membership in the rich world. The nation's per capita income is nearing the World Bank's threshold for high-income countries and should cross it within a year or two of the 25th anniversary of its accession to the World Trade Organization. That 2001 deal turned a $1.3 trillion economy into one approaching $20 trillion, and exports have since multiplied roughly 13-fold, earning China the title of "factory for the world."

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In 2021, President Xi Jinping triumphantly declared that the rising tide had lifted all boats – the Communist Party had won "complete victory" over absolute poverty – and pledged to pursue "common prosperity" [1] for all. China does deserve credit: Since 1978 it has lifted close to 800 million people out of extreme poverty, three-quarters of the global total, according to the World Bank. But to claim that victory, Beijing used a poverty line of about $2.30 a day, which critics contend is too low.

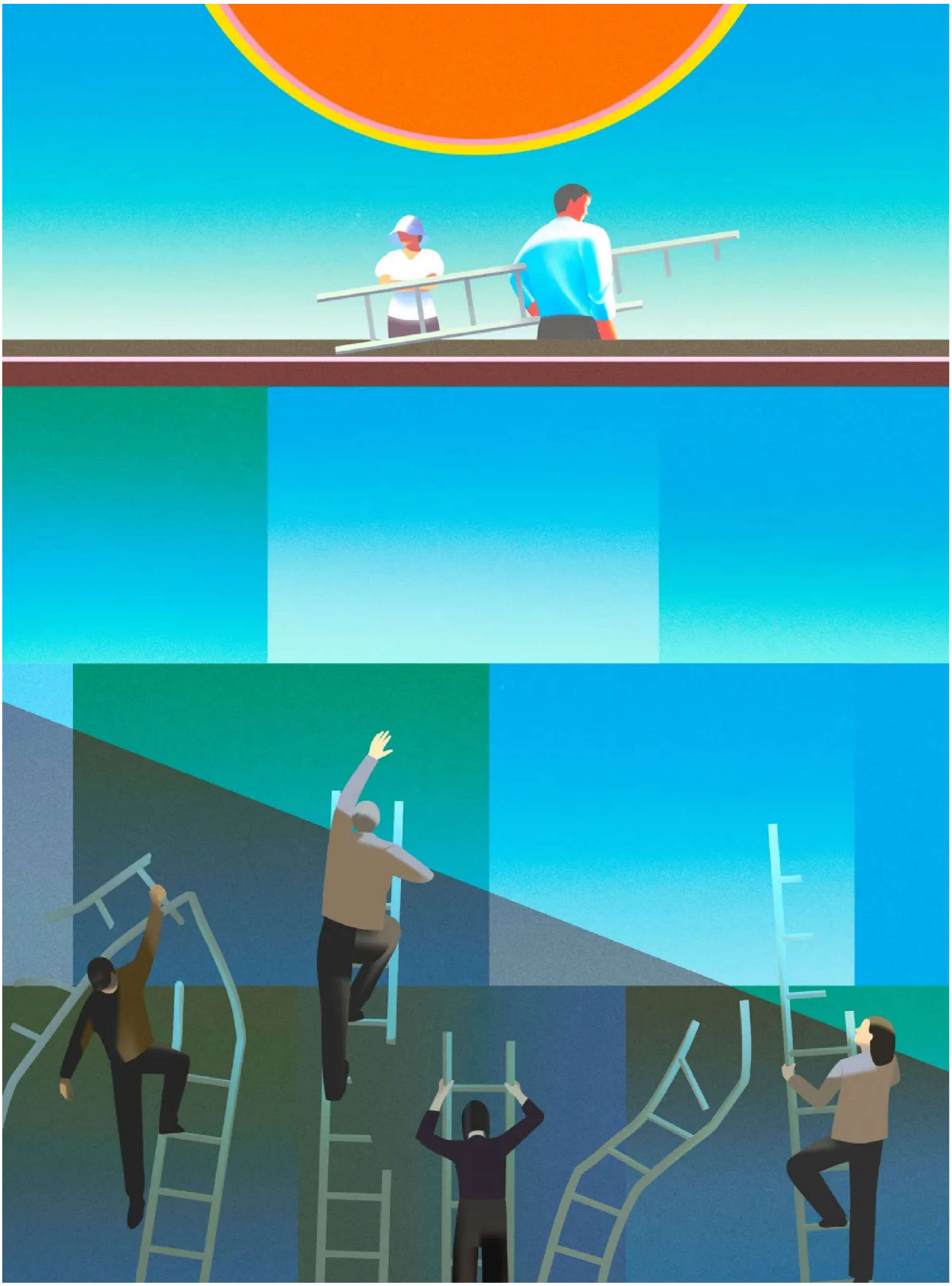


Illustration: Ard Su for Bloomberg Businessweek

Against the World Bank's $8.30-a-day poverty line for households in upper-middle-income countries – China's current group – more than one-fifth of its population remained poor as of 2022. Against the $30 a day that marks

poverty in the rich-country cohort China will be joining, the average citizen falls well short. China, in other words, is becoming a high-income country whose people, by any rich-world measure, remain exceedingly poor.

Both sets of facts flow from the same political economy, and the tension between them will define China's next quarter-century – turning less on whether the country grows rich, which by conventional measures it largely has, than on what it does about the millions left behind and the middle class it never allowed to form.

For the US and other Western powers that supported the country's entry into the WTO, the bet was that prosperity would beget a middle class that would demand a say. But Beijing has spent two decades ensuring that constituency never takes shape, since time and time again history has shown that a secure, propertied population is where pressure for a political voice collects.

The evidence on social activism is instructive. In November 2022 a deadly apartment fire in remote Urumqi set off street protests against zero-Covid lockdowns that swelled into the "white paper revolution," named after the blank sheets of paper demonstrators held up in wordless dissent. But these protests erupted not on China's poor periphery but in its bourgeois core – along Urumqi Road in Shanghai, the country's wealthiest city, and across elite campuses like Beijing's Tsinghua University. The demonstrations confirmed the Party's operating assumption: It is not hardship that is politically dangerous, but a comfortable middle class.



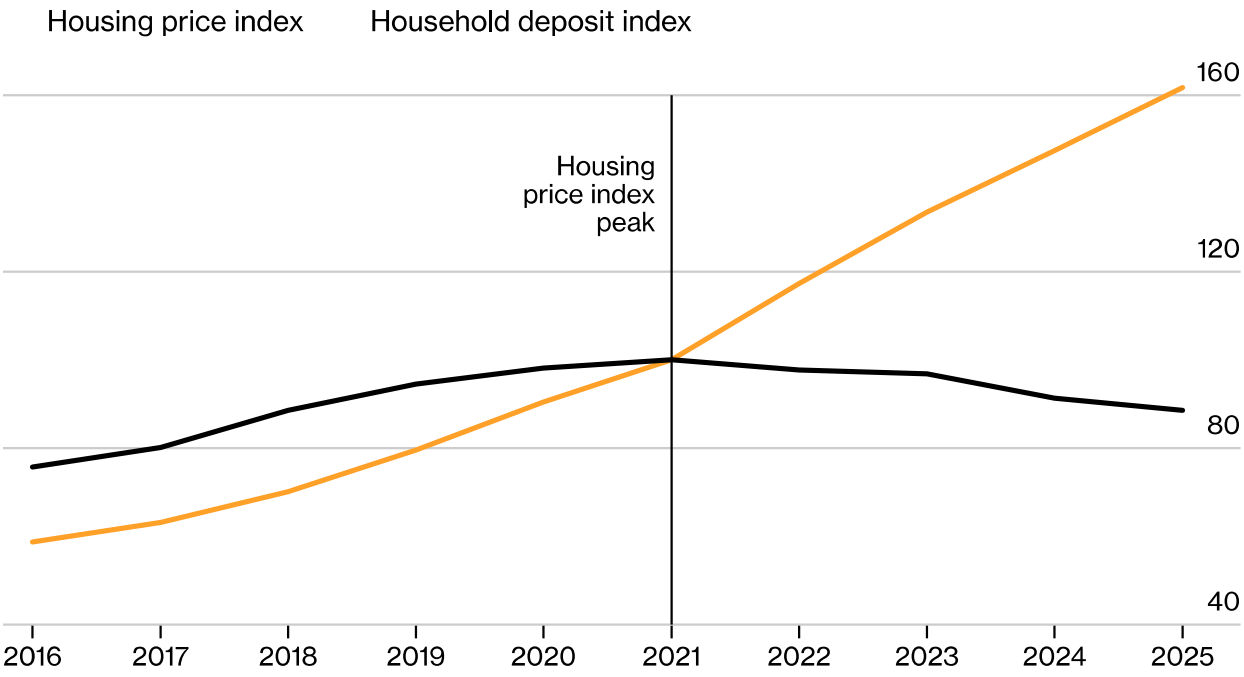
Protesters in Beijing at a “white paper revolution” demonstration in 2022. *Photographer: Ng Han Guan/AP Photo*

On the institutions that underpin a secure middle class – most importantly a social safety net – China diverges sharply from its peers. Social spending sits near 10% of gross domestic product, roughly half the average for countries in the Organization for Economic Cooperation and Development. Xi often warns that welfare programs breed idleness, a surprising stance for an avowed Marxist. The underlying motivation is more likely that households forced to self-insure stay precarious and pliable.

A grinding property crisis has only heightened the sense of vulnerability. Chinese households hold about 47% of their assets in real estate, and prices have fallen roughly a fifth from their 2021 peak, erasing trillions of yuan in wealth. Because a family’s home is often their only form of insurance, the loss of value has made people cling to cash all the more.

China’s Composition of Wealth Is Shifting

Asset indexes (2021=100)



Note: The housing price index is the normalized average of year-on-year price indexes for newly built commercial housing (excluding affordable housing) across China's 70 large and medium-size cities. The household deposit index is the normalized yearend stock of domestic household deposits held in financial institutions.
Source: National Bureau of Statistics of China

The exits for that cash, meanwhile, are being systematically sealed. In 2025, Hong Kong overtook Switzerland as the world's largest cross-border wealth center, with about $2.95 trillion in offshore financial assets booked there, much of it mainland money seeking escape. Beijing responded by tightening controls on outbound capital. A State Council regulation in force since July now governs overseas investment end to end, from first approval to final exit. For the first time the rules apply to individuals as well as to firms, and regulators have separately squeezed the brokerage channels that let mainlanders buy foreign stocks. Money that can be neither invested at home nor sent abroad pools in accounts at state-owned banks instead – a reservoir of funds that can support the government's industrial and infrastructure priorities.

Beijing has promised for years to rebalance the economy toward household consumption, so as to reduce the country's reliance on the twin growth engines of exports and investment. Yet after two decades of jawboning and half measures, consumption is stuck at about 40% of GDP, compared with 55% to 70% across the rich world. Households save at extraordinary rates – deposits have roughly doubled since 2019, to some 165 trillion yuan ($24.7

trillion) – not from thrift but because the state offers thin retirement pensions, patchy healthcare coverage and unemployment insurance that reaches barely a third of the workforce. Jobless benefits are pegged to the local minimum wage – not to what a worker earned – and is capped at 90% of that: roughly 2,000 yuan a month. This year the minimum rural pension has increased by just 20 yuan, to 163 yuan a month. A people who cannot count on the government to care for them when they are ill, jobless or old will not spend.



China's 130 million rural elderly, like these at a cafe in Sichuan province, collect meager pensions. *Photographer: Emeric Fohlen/NurPhoto/Shutterstock*

Youth unemployment tells the same story. The rate for 16- to 24-year-olds who are not in school now stands at 18% – an indicator so politically sensitive that Beijing suspended its publication in 2023, and then revised the methodology. A generation that coined the term *neijuan*, "involution," shorthand for running ever faster to stay in place, is not the confident spending cohort a middle class is built on.

The artificial intelligence boom deepens the divide between the government's industrial ambitions and household welfare. Beijing is pouring trillions of yuan into the development of more advanced chips and data

centers to support AI, and that spending is, for now, what is powering growth. But it funds those technology investments by starving the basics: hospitals, schools and other elements of the already meager safety net in rural areas, while the rewards accrue to the coastal, educated sliver.

The resulting inequality would look familiar to any American. With the poor and middle held down, one group has been allowed to grow: the rich. China's richest 10% of the population hold about 68% of its national wealth, close to the US figure of 70%. In 2025 the 1,434 individuals worth at least 5 billion yuan saw their combined wealth soar 42% thanks to a powerful stock market rally, according to an annual list compiled by the Hurun Research Institute, a Shanghai-based firm that has tracked China's rich since 1999.



Shoppers at a luxury mall in Shanghai. Income inequality in China is approaching US levels. *Photographer: Kobe Li/Nexpher Images/Alamy*

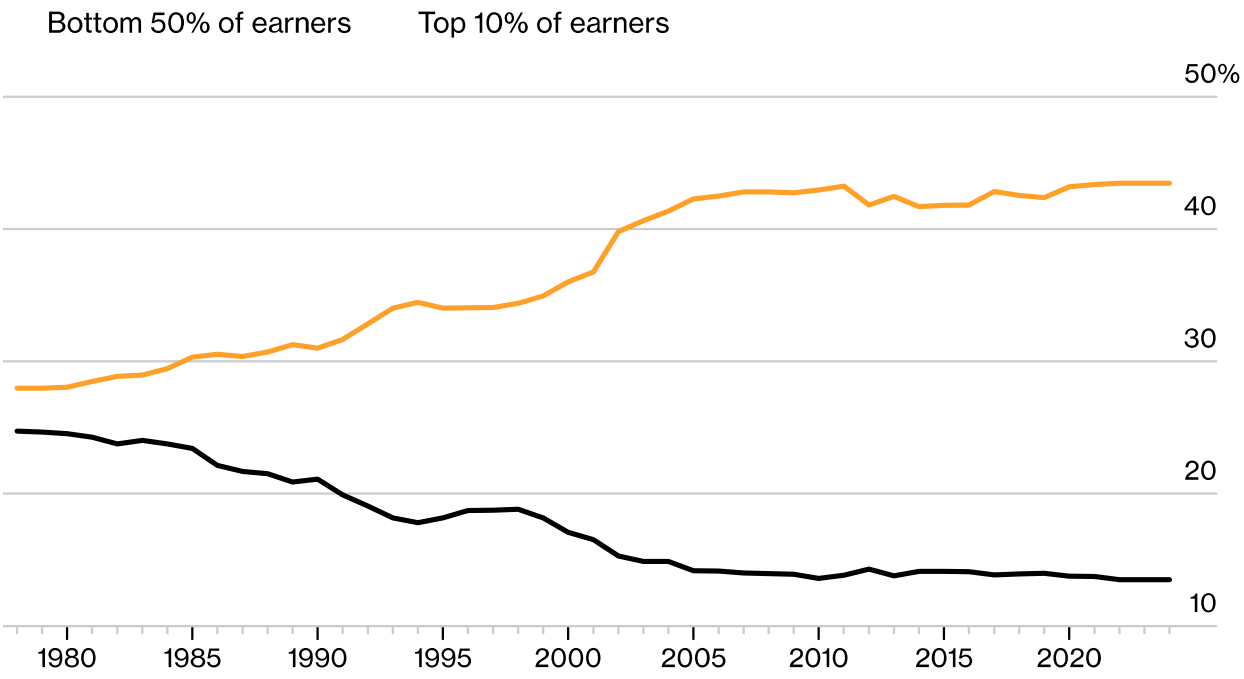
The Party has shown that a few thousand tycoons are easier to manage than a broad middle class. In 2020, when Alibaba founder Jack Ma criticized China's state-owned banks for having a "pawnshop mentality," financial regulators canceled the initial public offering for his digital payments platform. He subsequently disappeared from public view for several months

– a reminder of how those who have accumulated vast private fortunes are disciplined when they stray.

The longer trajectory, measured by earnings rather than wealth, is even starker. In 1978 the top 10% of earners and the bottom half of the population each took home about a quarter of national income. Since then, the top decile's share has climbed to over 40%, while the bottom half's has slid to under 14% – two lines that began together, now forked into what the West calls a "K-shaped" chasm. Deng's founding promise for the reform era that some people would get rich first and the rest would follow increasingly looks like a plan that only ever had a first stage.

Deng's Fork: Some Got Rich First, But What About the Rest?

Share of China's national income



Source: World Inequality Database

Follow these threads forward another quarter-century and the China that comes into view is not the one the WTO's architects imagined.

With savings high and consumption weak, Beijing keeps doubling down on the supply side – what it calls the "new productive forces." But a throttled home market cannot absorb what its state-of-the art factories produce, so the surplus will continue to go abroad: China now churns out more than

70% of the world's electric vehicles, some 80% of its batteries and roughly 80% of its solar panels.

Unlike in the early WTO years, however, the world is putting up walls with tariffs and trade blocs. And what China exports today is no longer toys and textiles but EVs, industrial robots and wind turbines – goods that compete with the crown jewels of advanced economies like Germany and Denmark, whose workers are among the best-paid and most organized anywhere. The higher China climbs up the value chain, the more directly it will encroach on industries that such countries most want to protect, so these tensions will only increase.

Common prosperity, Xi's supposed sequel to Deng's "let some get rich first," is turning out to mean shared restraint, not shared wealth: billionaires disciplined when convenient, the middle class asset-trapped, the poor pacified in 20-yuan increments. Everyone, in the end, is held equally in check.



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The Party's central challenge in the coming decades is demographic. With an expected 400 million retirees by 2035, the state will be forced to spend far more on pensions and care. Economists Michael Pettis and David Daokui Li argue from different directions that Beijing will sooner or later have no choice but to put real money in households' pockets – Pettis because the investment-led growth model is exhausted, Li because the state owes a debt to the farmers who shouldered much of the burden for China's industrialization and can afford to repay it. Li reckons that giving China's 130 million rural elderly a pension that they could actually live on would cost about 1.25 trillion yuan a year, just 4% of government spending, less than a fifth of what the US spends on Social Security.

But a quarter-century of precedent suggests the Party will judge those costs as too high and too risky. Xi has applied this logic more rigidly than any of his reform-era predecessors. During 14 years in power, he's chosen control over household welfare at every turn, and for the fourth presidential term he's expected to claim in 2027, there's no reason to expect a change of course. So the likeliest path is welfare that grows but stays minimal and conditional: enough to keep the peace, and calibrated to sustain dependence rather than end it.

The West wagered in 2001 that trade would make China rich and wealth would make it liberal. It got the first half. Whether a great power can hold the rest together while keeping most of its citizens poor is, at best, a formula for grinding stagnation – at worst, a slow-burning fuse.

Marquis is a professor at the University of Cambridge Judge Business School and the co-author of Mao and Markets: The Communist Roots of Chinese Enterprise. *The views and opinions expressed here are those of the writer and do not necessarily reflect those of* Bloomberg Businessweek *or its owner, Bloomberg LP.*

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1. *(gòng tóng fù yù — 共同富裕)*
   Used occasionally by Mao and Deng, the term has enjoyed a revival under Xi. View in article

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